

Flossbach von Storch
RESEARCH INSTITUTE



Economic Report

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August 2026

Macroeconomic Outlook in Brief

Global: Uncertainty Weighs on Growth

Uncertainty regarding the war in Iran is pushing energy prices back up and is likely to weigh on growth.

USA: Labor Market Under Scrutiny

Weaker-than-expected employment figures take pressure off the Fed.

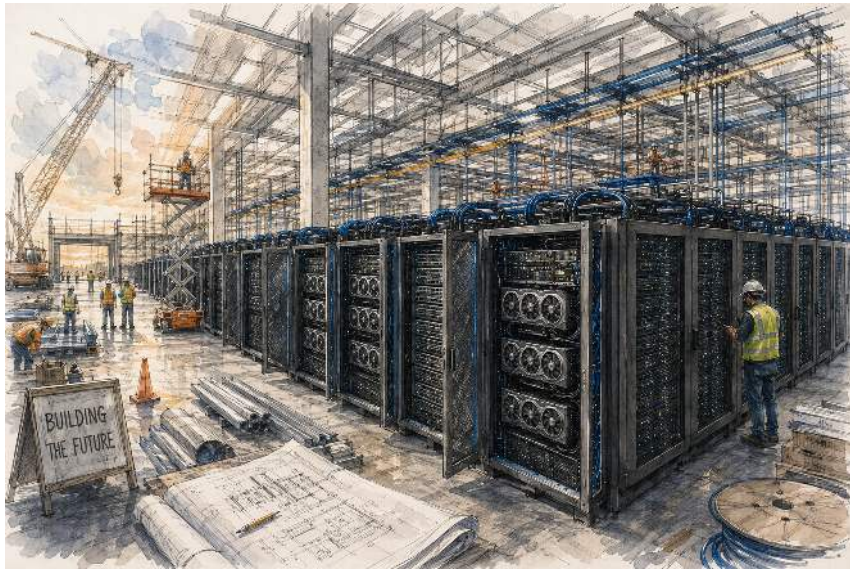
Eurozone: Modest Recovery

Business conditions recovered despite the ongoing blockade of the Strait of Hormuz.

China: Policy Supports Weak Domestic Economy

Expansionary monetary and fiscal policy stabilize the economy, but weak domestic demand and geopolitical risks pose headwinds.

AI Growth?



Contents

REAL ECONOMY	5
Wachstum	5
Finanzierungsbedingungen	12
Privater Konsum	16
Arbeitsmarkt	27
PRICES	37
Rohstoffe	37
USA	42
Eurozone	50
Inflationserwartungen	53
INTEREST RATE EXPECTATIONS & FISCAL IMPULSE	57



Wachstum



USA and Eurozone: Recovery in Business Conditions

In **July**, business conditions in the US and the Eurozone recovered **significantly**. The Purchasing Managers' Index (PMI) rose to **52.0 in the Eurozone** and surged to **54.5 in the US**. In China, by contrast, sentiment dampened slightly: the official NBS PMI fell below the expansion threshold to **49.3**, while the private RatingDog PMI stood at **50.8**.



Eurozone: Recovery in the Services Sector

Business conditions in the Eurozone services sector returned to **expansionary territory** in July with a PMI of **51.7**. Manufacturing also remained on a growth path at **51.9**. In the US, business prospects in the services sector improved markedly to **54.6**.



US Growth: Driven by AI Investments?

In the second quarter of 2026, US GDP grew by **2.11%** year-on-year. Private consumption was the key growth driver, contributing **1.53 percentage points**. Investments in hardware and software, including a large portion of AI infrastructure, contributed **0.7 percentage points**. Because many hardware components are imported, their net growth contribution is likely significantly lower. Whether AI investments are truly driving overall growth remains questionable.



Germany and France: Modest Recovery

In Germany and France, Purchasing Managers' Indices **recovered further in July**. In Germany, the Composite PMI returned to **expansionary territory** at **51.3**, driven by the recovery in manufacturing (**52.2**). In **France, the Services PMI recovered to 49.6, but remained below the expansion threshold of 50.**



China: Weak Domestic Economy

The Purchasing Managers' Indices for **July 2026** underscore the ongoing weakness of the domestic economy in China. The official NBS PMI fell into contractionary territory for both manufacturing (**49.2**) and services (**49.3**). The private RatingDog PMI stood at **50.9** (manufacturing) and **50.4** (services), barely above the expansion threshold.



Construction Activity Fails to Recover

Housing starts fell further in June and have remained below 2010 levels since 2022. This is also reflected in the numbers of unfinished and completed properties, which likewise dropped sharply.



Finanzierungsbedingungen



US Banks: Slight Easing of Lending Standards?

The July 2026 SLOOS survey shows that more banks eased rather than tightened lending standards for both firms and households (negative value). A majority of surveyed banks reported stronger credit demand over the past three months (positive value), although **household demand is slowing**.



Restrictive Credit Conditions in the Eurozone

According to the ECB's Bank Lending Survey (BLS) for the second quarter of 2026, credit conditions are expected to become more restrictive over the next three months for both enterprises and households (positive value). Respondents expect net credit demand to **decline for residential real estate and consumer purchases**, but **rise slightly for corporate investment**.



Weak Credit Impulse

The credit impulse (the change in credit growth to the private sector in percentage points of GDP) is a useful leading indicator for private demand. Recently, it was slightly positive in both the US and the Eurozone, but lost momentum. Because the number of banks reporting rising credit supply and demand is dropping sharply—especially in the Eurozone—this signals an impending negative credit impulse.



Privater Konsum



USA: Retail Sales Continue to Rise

Retail sales rose by 7.2% year-on-year in June. The weekly **Johnson Redbook Index** shows **continued solid growth** in US retail sales of 8.3% year-on-year through the first week of August.



USA: Credit Card Debt Continues to Rise

Credit card debt grew in recent weeks **similarly** to the average since 2012. The monthly change recently aligned with typical seasonal patterns for the same calendar weeks of prior years.



USA: Google Searches Point to More Cautious Consumption

Consumption often starts with an internet search. Online search data therefore serves as a good leading indicator for private consumption. Search intensity for the term “restaurant” in recent weeks was slightly below the five-year average, having previously been higher. Terms in the “travel” category have been searched less than the five-year average over the past two weeks.

USA: US Personal Savings Rate Remains Low

Between **2000 and 2019**, the US household savings rate averaged **5.2%**. In **June**, the savings rate **stood** at a very low level of **2.7%**, remaining far below its historical average.



Only Republican Sentiment Remains Optimistic

American consumer sentiment **remains on average pessimistic**. The Conference Board Consumer Confidence Index is at levels seen during the COVID crisis. The University of Michigan Consumer Sentiment Index **reached levels typical of recessions**. As usual, supporters of the opposition party are significantly more pessimistic, whereas Republicans remain optimistic.

Energy Expenditures: US Lower Than Eurozone

Historically, household energy expenditures in the US **were** higher than in Europe. However, this relationship reversed with the COVID pandemic and the war in Ukraine. Since then, energy expenditures as a share of total household spending **have trended** higher in Germany and France than in the US. The current oil price shock is likely to reinforce this trend further.



Eurozone & Germany: Household Savings Rate Remains Stable

The savings rate in Germany remains stable at **10.1%**, significantly higher than in the US (**2.7%**). Historically, the German savings rate also **stands** above that of the Eurozone. During the COVID crisis, it surged to nearly 20%.



Consumer Restraint in France and Germany

Google search queries for “restaurant” in Germany and France point to weak and declining private demand. In both countries, search intensity in recent weeks was lower than the five-year average for the same time of year.



Less Cautiousness in Spain Than in Italy

While search intensity for “restaurant” in Spain remained as high as the multi-year average, it was somewhat lower in Italy.



Sentiment Improves Only Slightly

In China, consumer sentiment has improved slightly since early 2025 but remains historically low. Sentiment in the real estate sector also remains depressed. The “National Real Estate Climate Index” has been trending downward for three years.



Arbeitsmarkt



USA: Slower Rise in Nominal Wages

In **July**, average hourly wages in the US increased by **3.2%** year-on-year, slower than in previous months. In the first quarter of 2026, wage growth stood at **3.9%** in Germany and just **1.6%** in France.



USA: Normalization of Wage Growth

Wage growth according to the Indeed Hiring Lab Wage Tracker leads median US wage growth by about eight months. In **July, advertised wage growth rose moderately by 2.4%**, indicating continued normalization.



USA: Convergence of Wage Growth Across Income Quartiles

In **June**, average hourly wages in the US increased by **3.8%**. Wage gains across individual income groups have converged significantly: wages in the lowest wage quartile rose by **3.6%**, while those in the highest quartile grew by **3.9%**.



The US Labor Market is Less Tight

The Beveridge curve shows the relationship between the job vacancy rate—vacancies as a percentage of total employment plus vacancies—and the unemployment rate. During the COVID crisis, the curve shifted outward because policy measures kept unemployment high despite abundant job openings. These rigidities have dissipated, and the Beveridge curve has returned to pre-COVID levels. The US labor market environment has thus normalized.



Job Growth Remains Weak Nonetheless

In July, private nonfarm payrolls increased by 0.6% year-on-year according to the ADP report. Official figures showed annual growth of 0.5%, lower than expected. The US labor market remains stable, but job growth is now proceeding more slowly than in the years between the Financial Crisis and the COVID pandemic.



USA: Layoffs and Initial Claims Declining

In July, approximately 33,500 job cuts were announced, fewer than in the previous month. At the same time, weekly **initial jobless claims** recently fell below 200,000, remaining at the **lower end of the range** seen over the past three years.



Nominal Wages Rising Faster in Germany

The Indeed Hiring Lab Wage Tracker shows **continued nominal wage growth in the Eurozone**. In June, the rate of change was 2.5% in the Eurozone, 2.8% in Germany, 1.4% in France, and 2.4% in the US.



Eurozone: Tight Labor Market

The Beveridge curve, illustrating the relationship between vacancy rate and unemployment rate, points to a tight labor market in the Eurozone. During the COVID crisis, the curve shifted outward as policy measures caused unemployment to remain elevated despite high job vacancies. In the meantime, these rigidities have largely dissipated and unemployment stands at historically low levels. Although the vacancy rate has declined, it once again aligns with the historical relationship between the two variables.



China: Very High Youth Unemployment

China's overall unemployment rate has moved sideways around 5% over recent years. Youth unemployment, defined as the unemployment rate among 16- to 24-year-olds, reached 21.3% in mid-2023. Following a six-month publication pause, a new metric "excluding students" was introduced. This has been declining for several months and stood at 14.9% in June.



Rohstoffe



Ocean Freight Costs Continue to Rise

Crude tanker **freight rates** surged to new record highs following the blockade of the Strait of Hormuz. After a **brief decline**, rates surged again, surpassing 2022 peak levels following the start of the war in Ukraine. The World Container Index (WCI), tracking container freight rates in **goods trade**, initially remained low due to persistent shipbuilding overcapacity, but has surged in recent weeks owing to high fuel costs and maritime geopolitical uncertainties.



Backwardation: Lower Oil Prices Expected Again

Following a brief **stabilization of oil prices**, the spread between 3-month and 1-year oil delivery futures widened again due to ongoing uncertainty regarding the Strait of Hormuz blockade. Nevertheless, this “backwardation” signals that the **current tightness** is viewed as **temporary**. Futures prices for 1-year delivery have risen again over recent days.



When Will Shipping Through the Strait of Hormuz Normalize?

Reopening the Strait of Hormuz is critical for global oil supply. Following renewed attacks, prediction markets price an August-end reopening at only around **4% probability**. For late October the probability stands at 23%, for late November at 30%, and for late December at 46%.



Volatile European Gas Prices

Europe remains heavily dependent on imports of oil and gas. Following a rapid surge of around 75%, one-month Dutch TTF natural gas futures have recently traded sideways, but remain roughly 50% above levels seen prior to the outbreak of the war in Iran. During the 2022 energy crisis, European gas prices temporarily tripled.



USA



AI-Act

USA: Inflation Rate Surges

In **July**, consumer prices in the US increased sharply. The Consumer Price Index (CPI) rose as expected by **3.4%** year-on-year. Core inflation stood at **2.5%**, matching median expectations in the monthly Bloomberg survey. The sharp increase stems primarily from the oil price shock.



Indices Show High Inflation

Inflation is measured using various indices: CPI captures consumer prices, the PCE index measures household consumption expenditures, and the GDP deflator tracks prices of all domestically produced goods and services. Rates across all three indicators peaked in mid-2022. In May 2026, the core PCE index preferred by the Fed (excluding food and energy) stood at **3.3%**. New Fed Chair Kevin Warsh favors **trimmed-mean inflation**, which excludes extreme price outliers. By this measure, inflation in June ranged between 2.2% and 2.6%.



Inflation Drivers: Services and Energy

Services inflation remains the dominant driver of US inflation. While the food price contribution remains moderately positive, the recent oil price shock is now feeding through in full force: energy's contribution to inflation is at its highest level since 2022, pushing headline inflation noticeably higher once again.



USA: Rising Inflationary Pressures

In July, services prices increased by **3.1%** year-on-year. Food prices continued to rise briskly with an annual rate of change of **2.6%**. Energy prices surged particularly sharply, up **14.4%** year-on-year.



USA: Supercore Inflation Increases Less Rapidly

Supercore is defined as the services price index excluding energy and housing costs. Based on the CPI index, the annual rate of supercore inflation stood at around **2.8%** in July. Measured by the PCE index, supercore inflation rose to nearly **3.8%** in June. This demonstrates that inflationary pressures in the service sector remain high even when excluding housing costs.



Rent Growth Stops Falling

Rent costs account for a large portion of services prices in CPI and correlate strongly with owners' equivalent rent. During the pandemic years, the Zillow Rent Index for new leases was a reliable leading indicator for overall rent dynamics, as existing lease rents lag. Currently, the Zillow Rent Index signals slower rent growth at roughly **2.1%**, compared to the re-accelerating CPI Rent Index at around **2.9%**.



USA: Inflation Could Rise Further

The Prices Paid index in the ISM Services PMI leads consumer price inflation by approximately six months. In **July**, the ISM Prices index rose again, signaling elevated inflationary pressures.



Eurozone



Rising Inflation in the Eurozone

In **July**, Eurozone HICP remained above the **2% target**. Year-on-year, HICP rose by **2.9%**, with core inflation standing at **2.5%**. In Germany (**2.8%**), France (**2.4%**), Italy (**2.9%**), and Spain (**3.8%**), prices accelerated once again.

Inflationary Pressure Persists

Until late 2022, inflation was primarily driven by energy and food prices. Currently, price increases are predominantly driven by rising services prices, to a lesser extent by food, and once again by energy. In the interim, however, energy prices exerted a dampening effect on inflation for several months.



Inflationserwartungen



Oh

Volatile Consumer Inflation Expectations

In **July 2026**, 12-month-ahead US consumer inflation expectations stood at **4.2%** (University of Michigan) and **3.6%** (NY Fed). In the Eurozone, median household expectations in **June** (ECB survey) were **3%** for the year ahead and **2.8%** for the next three years.



Energy Becomes Expensive Again...

Food and energy prices are excluded to analyze underlying inflation trends. However, for purchasing power perceptions and voter sentiment, these prices are crucial. After rising sharply in 2021, energy prices stabilized, while food prices continued to ascend. The war in Iran has now pushed energy costs up again: in the US they stand **15%** above pre-Trump election levels (Nov 2024), while in the Eurozone they are up **9%**.



... Weighing on US Republican Election Odds

In November 2026, the entire House of Representatives and 35 of 100 Senate seats will be up for election. Prediction markets currently price a Republican House majority at only **13%**. For the Senate, the probability has recently risen again, currently hovering around **49%**.



USA: Rising Real Interest Rate

The real interest rate is the difference between nominal interest rates and (expected) inflation. While nominal rates can be directly observed in the market, expected inflation relies on estimation approaches. Depending on the method chosen, the (expected) real rate for the US economy currently sits in positive territory between **0.4%** and **1.5%**. Alternatively, one can observe market yields on inflation-indexed Treasury bonds (TIPS in the US). For a 2-year maturity, real yields have been positive since April 2022 and recently climbed to around **2.2%**.



Volatile Interest Rate Expectations

Futures markets are pricing in at least one **25 basis point rate hike** by the Fed by December 2026. Through July 2027, additional hikes of up to 25 basis points are priced in. In the Eurozone, further rate hikes totaling **50 basis points** are priced in by July 2027, with **25 basis points** expected by year-end 2026. Nevertheless, expected interest rate levels in Europe remain significantly below those in the US.



China: Expansionary Monetary Policy

The People's Bank of China manages monetary policy primarily through three tools: the 7-day reverse repo rate, the 1-year Loan Prime Rate (LPR), and the reserve requirement ratio (RRR). In recent years, it cut all three rates repeatedly to inject liquidity and support economic growth via credit expansion. For 2026, it signals a continuing moderately accommodative policy stance.

Moderate Fiscal Impulse for 2026

Recent IMF estimates have shifted the fiscal picture for 2026, particularly regarding China. Rather than a previously expected neutral fiscal impulse, a strong positive impulse is now projected, driven by extensive state measures to support domestic demand. In the US, the fiscal impulse was negative in 2024 and 2025, but a slightly positive impulse is expected for 2026. In the Eurozone, the fiscal impulse shifts from 2025 to 2026, as German defense and infrastructure programs take effect with a lag.

Global Economic Forecast 2026

Our growth forecast for 2026 is based on a qualitative assessment of economic momentum, fiscal policy impact, and financing conditions, including monetary policy. These forecasts are intended as directional guidance rather than precise point estimates.

	Mom.	Fiscal	Financing	FvS-RI	Bloomberg Consensus
USA	0	+	0	2.0%	2.1%
CN	0	+	0	4.6%	4.6%
EA	—	+	0	0.6%	0.8%
DE	—	+	0	0.4%	0.7%

USA: Stable consumption, a solid labor market, and moderating wage growth support unchanged positive momentum. On the fiscal side, no budget consolidation is planned; the stance remains expansionary.

Monetarily, no rate cuts are expected through year-end. The war in Iran increases uncertainty and recession risk. **China:** The persistent weakness in the real estate

sector weighs on domestic demand. Manufacturing stabilizes the economy via exports, albeit heavily aided by subsidies, pointing to overcapacity and exerting deflationary pressure. Mild impulses are expected from fiscal and monetary policy.

Eurozone / Germany: Negative momentum in Germany and the Eurozone resulting from oil price shock effects on demand and industry is partially offset at the European level by stronger growth in Spain and Italy. However, Spain is increasingly weakening. Debt-financed economic programs should provide a boost in 2026. Without deregulation, German infrastructure and defense investments may have only a muted effect. Rising oil and gas prices alongside a weak euro further weigh on activity. Given poor business prospects and heightened uncertainty, we have lowered our forecast once again.

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